Acct-23 (EEE)

Part A (1)

Asim Manufacturing Co
Adjusted Trial Balance
For the month ended at 30 June, 2023

Particulars	T.B.		Adjustment Entries		Adjusted T.B	
	DR(TK)	CR(TK)	DR(TK)	CR(TK)	DR (TK)	CR(TK)
Cash →	19730				19730	
Receivable →	5440		iv) 1300		6740	
Equipment →	1520			i) 1320	200	
Insurance Prepayment →	4600				4600	
Properties →	20000				20000	
Office equipment →	3600			~~ii) 200~~	3600	
Acc. Dep →		600		ii) 200		800
Payable →		1800				1800
U.I.R →		480	v) 300			180
Notes Payable →		15000				15000
Capital →		30000				30000
Drawings →	8000				8000	
Interest Revenue →		33680		iv) 1300 v) 300		35280
Salary Exp →	9050		iii) 5000		14050	
Rental Exp →	3200				3200	
Utility Exp →	1970				1970	
Supplies Exp →	4080				4080	
Sundry Exp →	910				910	
Interest Exp →	200				200	
Rental Rev →		240			~~240~~	240
S/P →		500		iii) 5000		5500
Equip Exp →			i) 1320		1320	
Dep. Exp →			ii) 200		200	
~~Interest Rev →~~				~~iv) 1300~~		
Total	82300	82300	8120	8120	88000	88800

1 (OR)

Welcwash (Pvt.) Ltd
Income Statement
For the month ended December 31, 2023

Revenue:-	
Service Revenue :-	$60000
Expense :-	
Salary Expense :-	($16000)
Advertise. Expense :-	($3000)
Dep. Exp. Furniture :-	($1000)
Dep. Exp. Building :-	($2000)
∴ Net Income :-	$38000

Welcwash (Pvt.) Ltd
Owners Equity Statement
For the month ended December 31, 2023

Previous Capital →	$0
~~(+) New Capital~~ →	[illegible]
(+) Net Income →	$38000
(−) Drawings/Withdraw →	$25000
~~Total Owners Equity~~ →	~~$13000~~
(+) Common Stock →	$12000
Total O.E. →	$25000

Welwash (Pvt) Ltd
Balance Sheet
For the month ended December 31, 2023

Asset		Liability	
Cash	→ $6000	A/P	→ $2000
A/R	→ $5000	Unearned Service Rev.	→ 8000
Supplies	→ $1000	S/P	→ $3000
Furniture	→ $10000	**Owners Equity**	
Acc. Dep. Furniture	→ ($4000)	Total O.E.	→ $25000
Building	→ $50000		
Acc. Dep. Building	→ ($30000)	Total Liabilities & O.E.	→ $38000
Total Assets	→ 38000		

(5)

	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Units to be Produced:	5000	8000	7000	6000
RM needed per unit (gram):	× 10	× 10	× 10	× 10
	50000	80000	70000	60000
(+) Ending inventory (35% of next quarter's):	28000	24500	21000	8000
Total needs of RM (gram):	78000	104500	91000	68000
(−) Beginning inventory:	7000	28000	24500	21000
RM to be purchased (gram):	71000	76500	66500	47000
Cost of RM per unit ($):	× $2	× $2	× $2	× $2
RM Budget ($):	$142000	$153000	$133000	$94000

ASHA Tailoring
Cost of goods Sold statement
For the year ended 2022

Particular	($)	($)
1) Raw Materials:		
Beginning inventory →	8000	
(+) Raw Material Purchase →	132000	
(−) Ending inventory →	(10000)	
Cost of Raw Materials →		130000
2) Direct Labor →		90000
Prime Cost (1+2) →		220000
3) Manufacturing Overhead:		
Factory Utilities →	9000	
(+) Factory Equip. Maintenance →	24000	
(+) Factory Supplies →	700	
(+) Factory Building Rent →	80000	
(+) Indirect Labor →	56300	
(+) Factory Equip. Depreciation →	40000	210000
Total Manufacturing cost →		430000
(+) WIP, Beginning inventory →		5000
(−) WIP, Ending inventory →		(20000)
Cost of good Manufactured →		415000
(+) Finished Goods, Beginning →		7000
Cost of goods available for sale		422000
(−) Finished goods, Ending →		(25000)
Cost of good Sold →		397000

(4)

Given,

S.P ⟶ ~~100~~ \$100 pu

VC ⟶ \$40 pu

FC ⟶ \$720000

SU = 14000 unit per year

i) CM Method:

$$\text{BEP in Unit} = \frac{\text{FC} + \text{Profit}}{\text{CM}} \quad [\text{CM} = \text{SP} - \text{VC} = \$60]$$

$$= \frac{\$720000}{\$60} = 12000 \text{ unit}$$

BEP in \$ = BEP in unit × ~~CM~~ SP = (12000 × ~~\$~~\$100)

= \$1200000

ii)

Targeted Profit/ NOI = \$240000

~~We know that, NOI = CM − FC or, CM = NOI + FC~~

~~∴ CM = \$(240000 + 720000) = \$960000~~

CM Method:

$$\text{BEP in unit} = \frac{\text{FC} + \text{Targeted Profit}}{\text{CM}} = \frac{\$960000}{\$60} = 16000$$

iii) CM Income Statement

~~Sales~~	PU	Total
Sales ⟶	\$100	\$1400000
(−)VC ⟶	\$40	\$560000
CM ⟶	\$60	\$840000
(−)FC ⟶		\$720000
NOI ⟶		\$120000

$$\text{DOL} = \frac{\text{CM}}{\text{NOI}}$$

$$= \frac{\$840000}{\$120000}$$

DOL = 7

from (III), CM Ratio = $\frac{CM}{Sales} = \frac{\$60}{\$100} = 0.6$

IV) Given,

Increase in Sales in unit = 3500 unit

From (III), we have DOL = OL = 7

Increase in NOI in \$ = (Increase in Sales in ~~[illegible]~~ × CM Ratio)

~~= (3500~~

~~Increa~~

Increase in NOI in % = (Increase in Sales in % × OL)

∴ Increase in Sales in % = $\frac{3500}{14000} \times 100\% = 25\%$

= (25% × 7) = 175%

Increase in Sales in \$ = (3500 × \$100) = \$350000

= (\$350000 × 0.6) = \$210000

=0=

RM Budget (\$)	: \$142000	\$153000	\$133000	\$94000
A/P	: \$25000			
1st quarter purchases (80%, 20%)	: \$113600	\$28400		
2nd quarter (80%, 20%)	:	\$122400	\$30600	
3rd quarter (80%, 20%)	:		\$106400	\$26600
4th quarter (80%)	:			\$75200
Total Cash Disbursement	: \$138600	\$150800	\$137000	\$101800

(5 NO Ques 2nd Part)

5(OK)

(a)

	~~$~~July	~~a~~ August	September	Total
Budget Sales ($) :	$600000	$900000	$500000	$2000000
Sales of May (~~70~~ 40%) :	$43000			$43000
Sales of June (70%, 10%) :	$378000	$54000		$432000
Sall of July (20%, 70%, 10%) :	$120000	$420000	$60000	$600000
" Of August (20%, 70%) :		$180000	$630000	$810000
" Of Sept (20%) :			$100000	$100000
Cash Collection :	$541000	$654000	$790000	$1985000

b) A/R of 30th Sept ~~0th~~ = (10% of August's Sales + 80% of September's Sales)

= ($90000 + $400000) = $490000